

Comfort Systems USA, Inc. (FIX:NYSE)

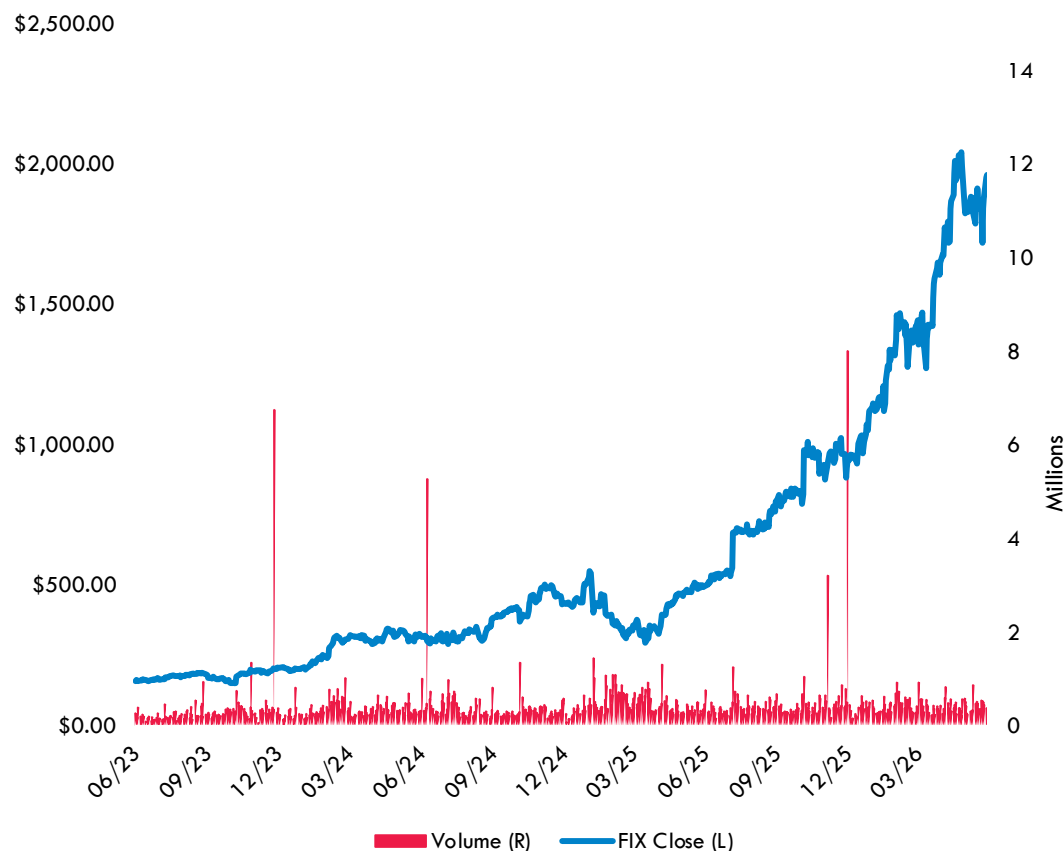


Market Profile

Closing Price	1,719
52-Week High / Low	\$469/\$2,074
Avg. Daily Volume (T)	421.9
Shares Outstanding (M)	35.3
Dividend Yield	0.17
Institutional Ownership	94.90%
Insider Ownership	1.24%
Market Capitalization (M)	64,475
Enterprise Value (M)	63,510
P/S (LTM)	1.88
EV/EBITDA	16.6
P/E	53.2

Financial Data	2024	2025	2026E	2027E	2028E
Sales (\$M)	7,028	9,102	10,922	12,233	13,456
Consensus	7,028	9,102	11,892	14,092	16,392
Sales Growth	35.0%	29.5%	20.0%	12.0%	10.0%
Consensus	35.0%	29.5%	30.7%	18.5%	16.3%
EBIT Margin	10.6%	14.4%	15.5%	15.6%	14.7%
Consensus	10.6%	14.4%	16.6%	16.9%	16.4%
EPS (Diluted)	14.6	28.9	37.0	42.2	44.5
Consensus	14.6	28.9	43.2	53.4	67.3
ROE	35%	49%	33.0%	28.6%	24.0%
ROA	13%	18%	25%	23%	20%
Total D/A	6.6%	2.4%	1.8%	1.3%	1.0%

Source: Company Filings, FactSet



5Y	3Y	2Y	LTM	YTD	6M	3M	1M
-1%	96%	260%	252%	84%	68%	24%	11%

SELL

Target Price: \$564 | Closing Price: \$1,852 | Downside: 70%

Business Overview



4

- Comfort Systems USA is a leading provider of **Mechanical, Electrical, and Plumbing (MEP)** systems, with a heavy focus on commercial **heating, ventilation, and air conditioning (HVAC)**
- Two reportable segments
 - The **Mechanical Services** segment is the foundational core of Comfort Systems (FIX), representing the vast majority of the company's operational footprint and revenue
 - The **Electrical Services** segment is Comfort Systems' rapid-growth frontier, built primarily through a programmatic acquisition strategy to expand the company's capabilities beyond core mechanical systems, bridging the physical gap between power infrastructure and climate control, transforming FIX into a single-source partner for complex projects

Figure 1: FIX Revenue Sources 2019-2025

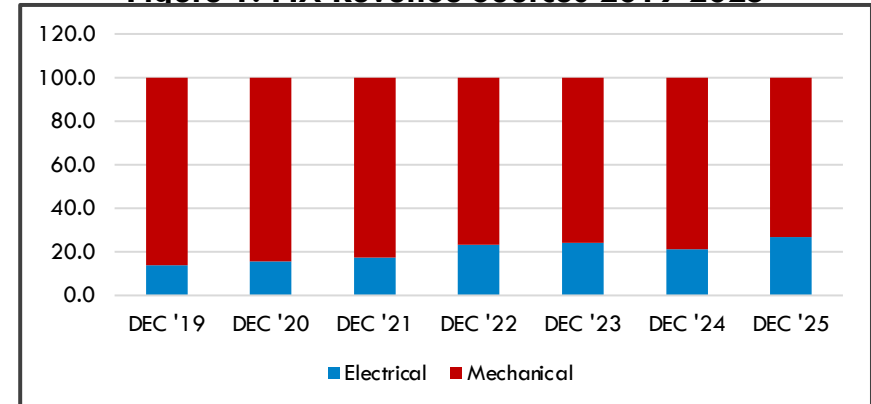
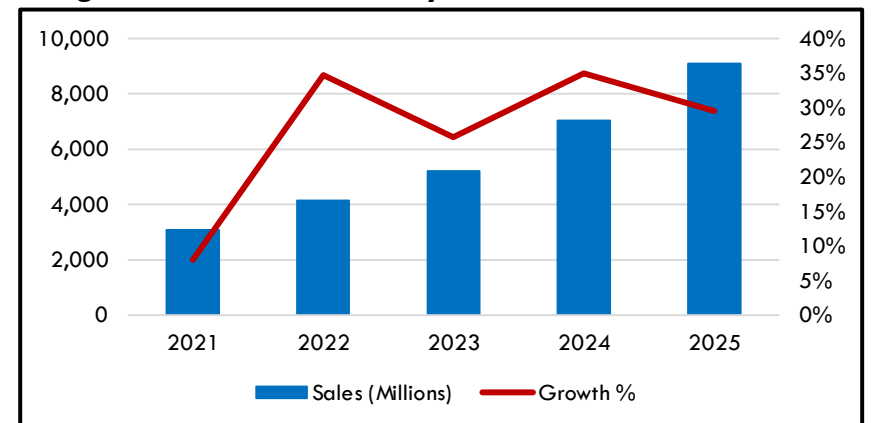


Figure 2: Revenue History and Sales Growth Rates



Source: Company Filings, FactSet

Business

Drivers

Financials

Valuation

Risks

Summary

Business Overview

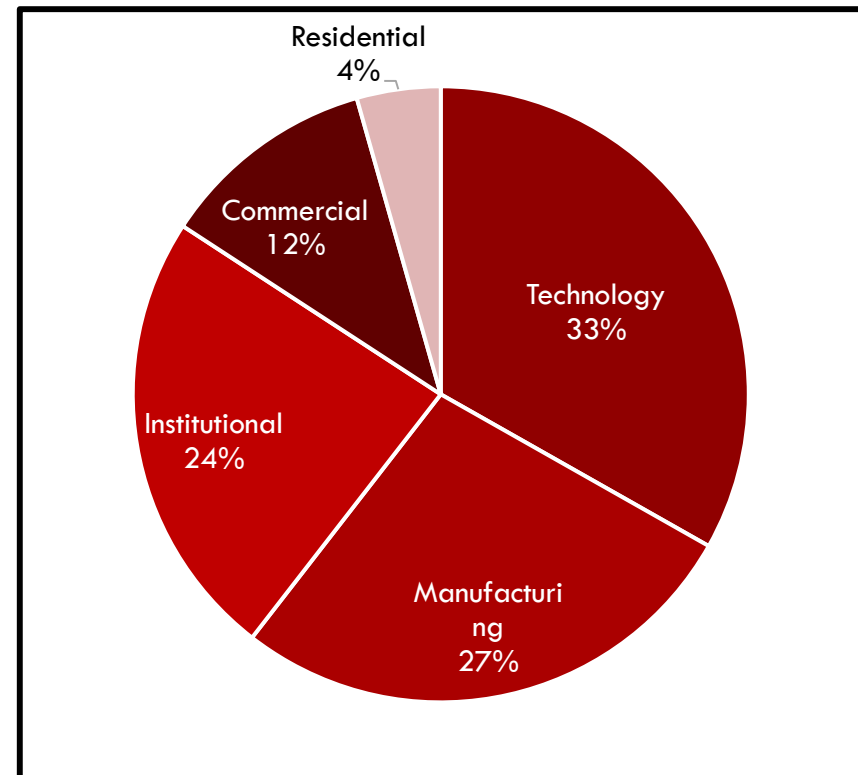


5

End-Use Sectors

- Technology
 - Data centers
- Manufacturing
 - Industrial
- Institutional
 - Education
 - Health
 - Government
- Commercial
 - Office
 - Retail
- Residential
 - Multi-family

Figure 3: 2024 by End-Use Sector



Source: Company Filings, FactSet

Business

Drivers

Financials

Valuation

Risks

Summary



Industry Overview

6

- The MEP sector is split between stagnant, price-sensitive legacy commercial markets and high-growth technology infrastructure fueled by secular mega-cap tech spending
- Unprecedented AI thermal loads mandate a shift from air to liquid cooling, while structural field labor shortages force a transition to off-site modular factory prefabrication
- Shifting construction to automated factories introduces heavy fixed costs, creating intense operating leverage where profit margins are highly sensitive to capacity utilization
- A domestic reshoring boom fueled by federal incentives blurs the line between mechanical and electrical systems, favoring single-source turnkey providers but increasing exposure to regulatory shifts and supply chain shocks

Source: Company Filings, FactSet

Figure 3: Datacenter Driven Growth

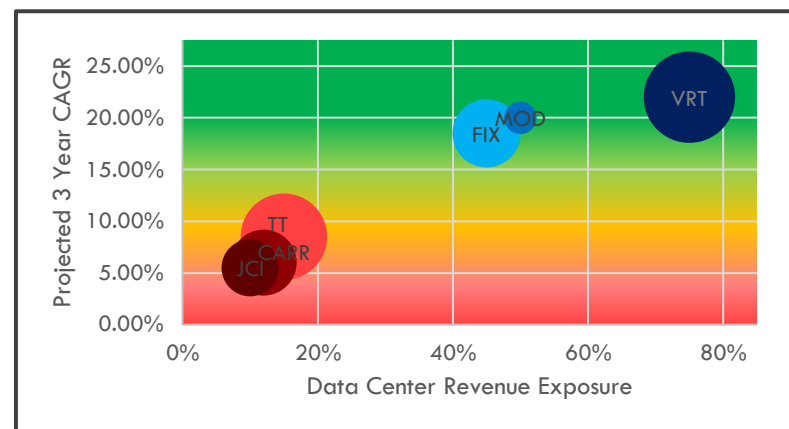
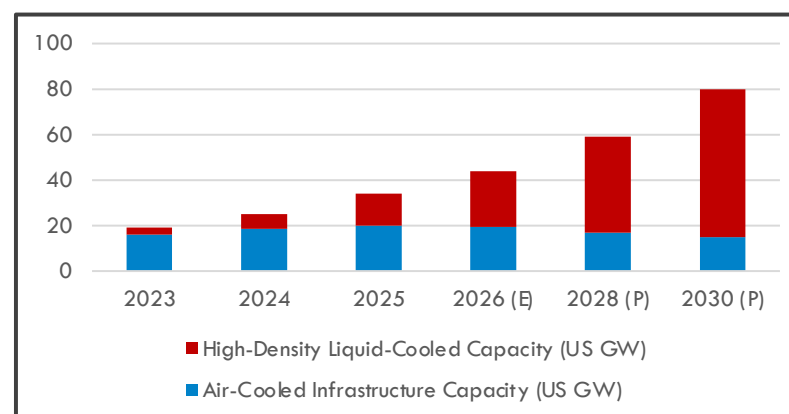


Figure 4: Demands Liquid Cooling



Business

Drivers

Financials

Valuation

Risks

Summary



Competitors

7

- Carrier Group
- Johnson Controls
- API Group Corp.
- Trane Technologies

Figure 16: FIX Comparable Profitability / Liquidity Ratios

Ticker	Comparable Companies					
	ROE	ROA	NPM	Debt / Asset	Asset Turnover	ROIC
FIX	53.3%	21.3%	12.1%	5.5%	1.76	47.0%
CARR	9.4%	3.5%	5.9%	33.8%	0.59	5.2%
JCI	14.0%	5.1%	8.4%	24.8%	0.61	8.7%
APG	10.0%	3.8%	4.0%	34.2%	0.96	5.2%
TT	36.5%	13.7%	13.6%	20.3%	1.01	24.5%
Average	24.6%	9.5%	8.8%	23.7%	0.99	18.1%
Median	14.0%	5.1%	8.4%	24.8%	0.96	8.7%

Figure 15: FIX Competitors by Q1 2026 Sales

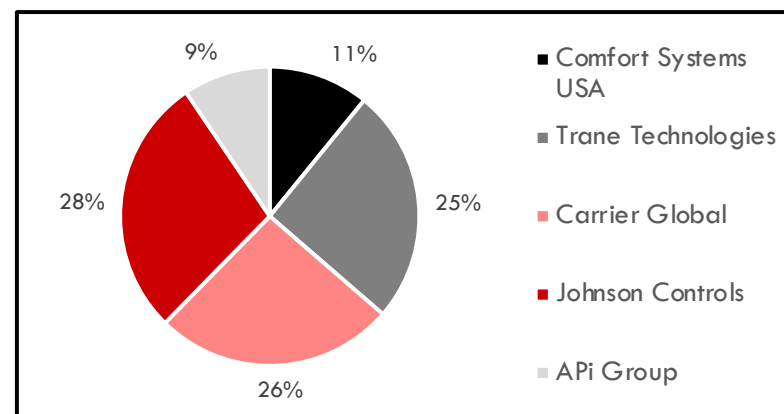
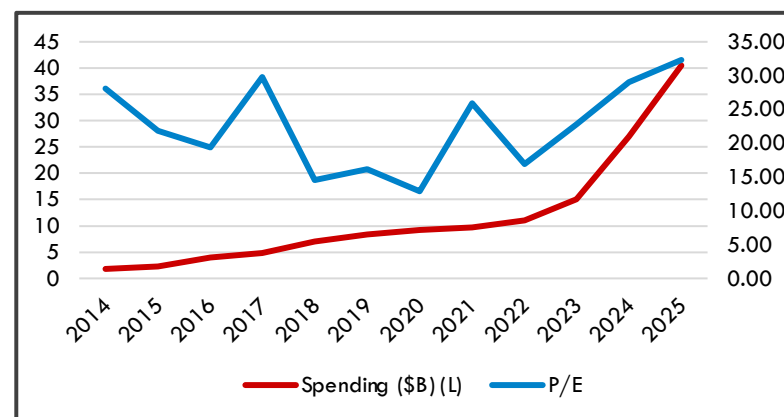


Figure 17: Avg Comp P/E to Data Center Spending



Source: Company Filings, FactSet

Business

Drivers

Financials

Valuation

Risks

Summary

Driver 1: Data Center Construction



8

In 2026, US data center construction spending surpassed \$50 billion

Data center spending expenditures forecasted to reach \$7 trillion by 2030

AI workloads are set to drive global data center capacity past 200 gigawatts by 2030

Figure 5: Data Center Capital Expenditures

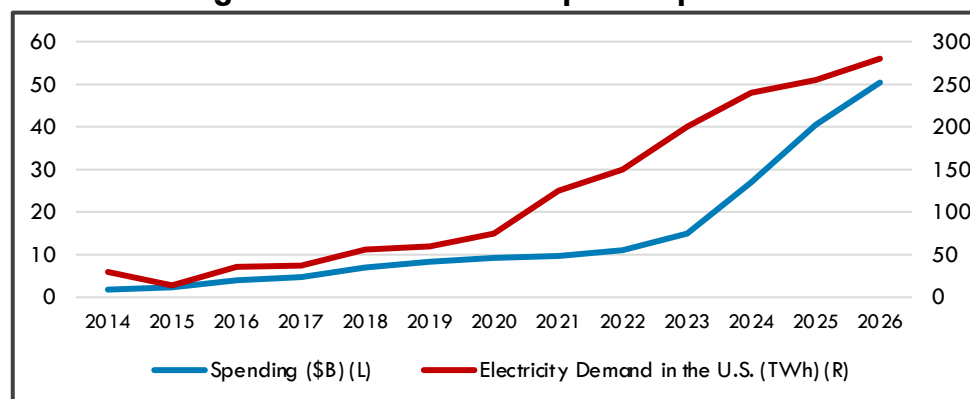
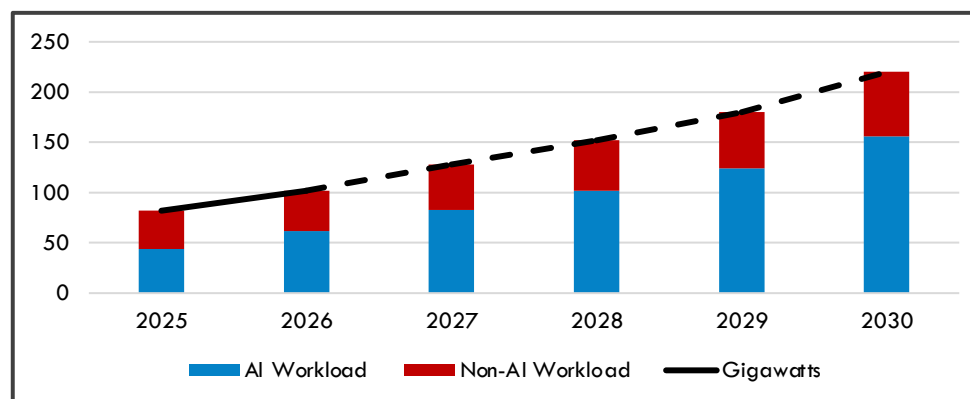


Figure 6: Estimated Global Data Center Capacity Demand



Source: Company Filings, FactSet, Bloomberg, McKinsey

Business

Drivers

Financials

Valuation

Risks

Summary



Driver 2: Operating Leverage

9

- Revenue growth above breakeven fixed costs has increased significant operating leverage, driving EBIT expansion and ROIC
- Operating leverage expansion is contingent on AI data center Capex remaining elevated
- EBIT growth has nearly doubled from 2021 to 2023
 - 21' vs 22' +34.97%
 - 22' vs 23' +64.94%

Figure 8: Capital Efficiency & Margin Trends

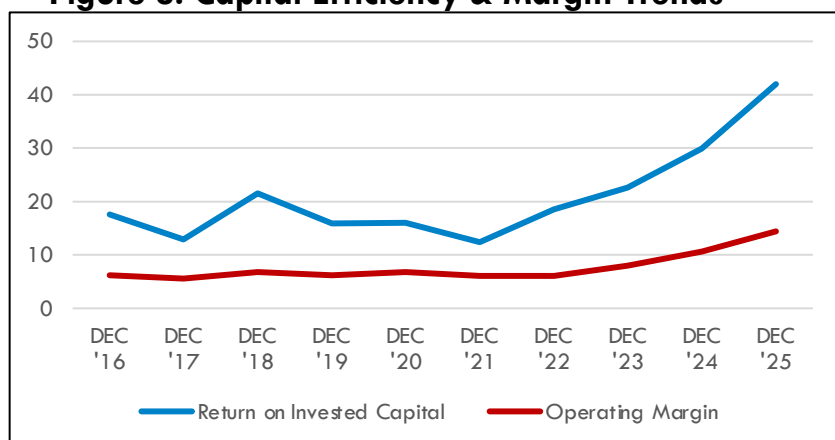
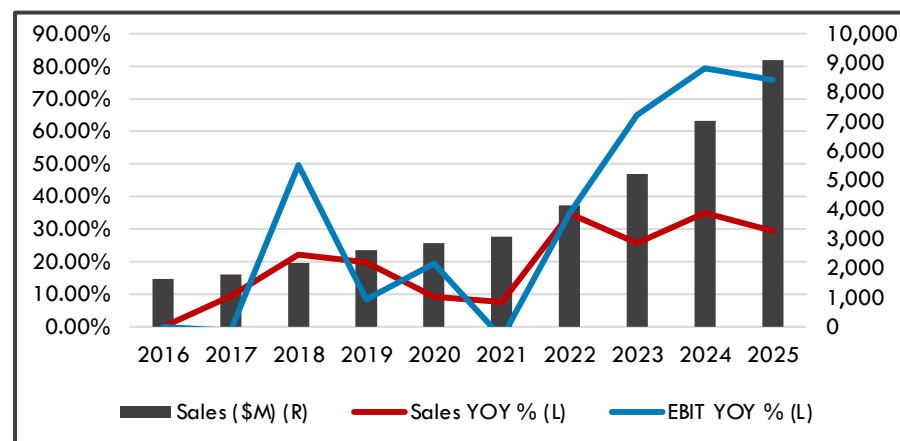


Figure 7: FIX Sales vs EBIT YOY Growth



Source: Company Filings, FactSet

- EBIT growth has outpaced sales growth which supports that incremental revenue is converting to profit at higher rates
- ROIC increased from 29.99 to 42 in 2025 as margins expand
- Operating margin doubled from 10 to 14 over the same period, confirming the leverage effect is sustaining with increased demand

Business

Drivers

Financials

Valuation

Risks

Summary



Driver 3: Interest Rates

10

- FIX's increasing revenue concentration dependence on large tech and AI data centers projects introduces a large risk. Any interest rate driven pullback in data center Capex spending hits FIX disproportionately
- Long term debt has surged meaning FIX itself carries more interest rate sensitivity on its own balance sheet
- The 10-YR Treasury has risen meaningfully, raising the cost of debt financed AI data center projects which could hurt future demand.

Figure 9: 10 – YR US Treasury Yield Curve

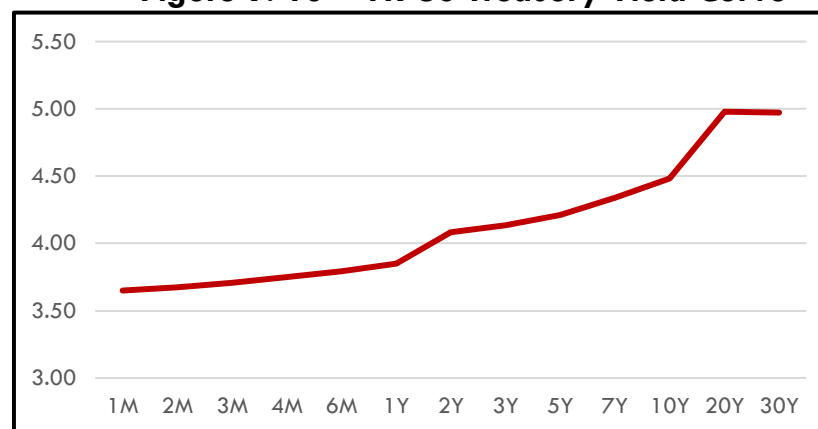


Figure 11: AI Data Center Spend vs FIX Revenue

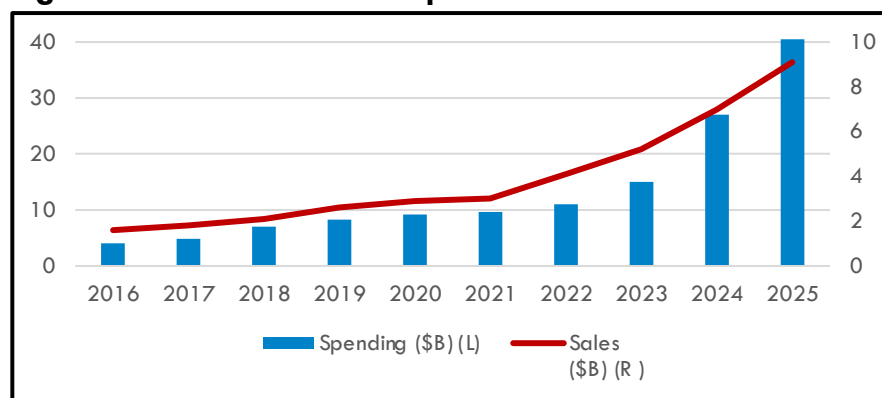
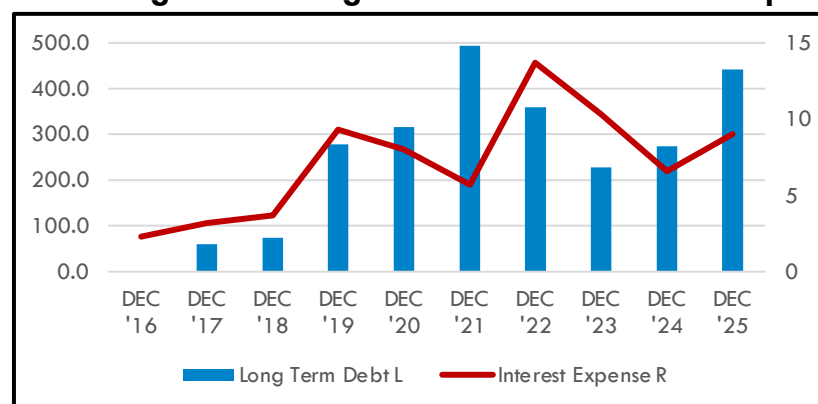


Figure 10: Long Term Debt and Interest Expense



Source: Company Filings, FactSet

Business

Drivers

Financials

Valuation

Risks

Summary

Is Recent Growth Sustainable?



11

- Strong growth in recent years has increased financial performance across key metrics
- Strong cash and asset balances allow flexibility for share buybacks or acquisition targets
- Margin expansion following topline growth

Figure 12: EPS (Basic) and Repurchase of Common Stock

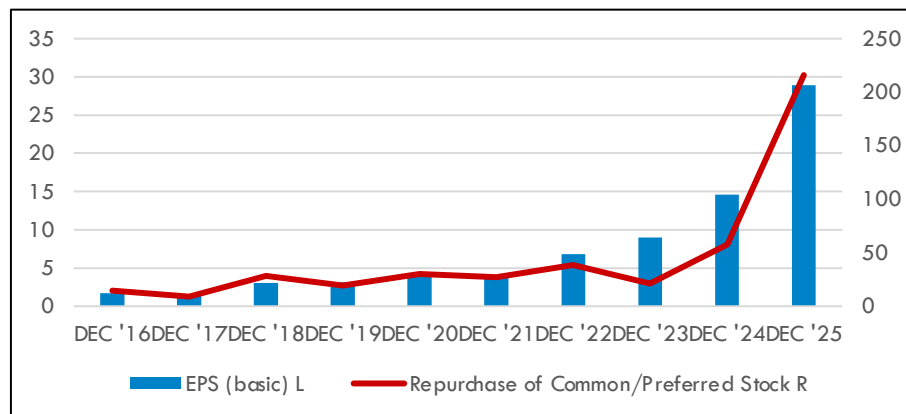


Figure 14: Asset to Debts

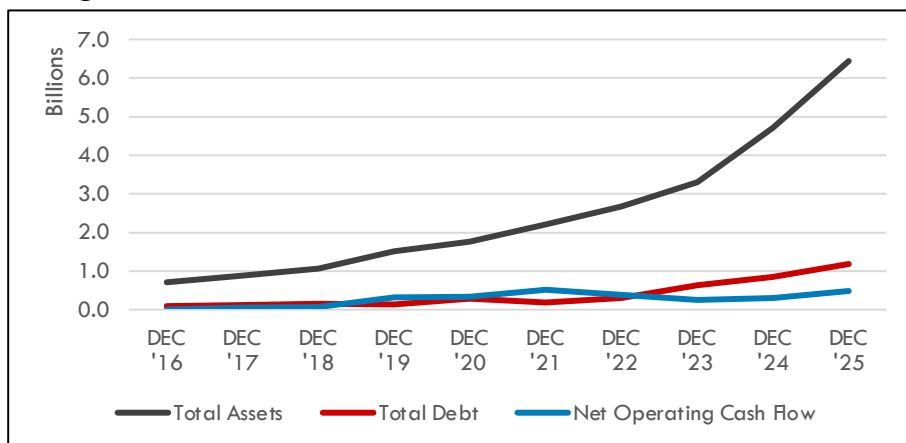
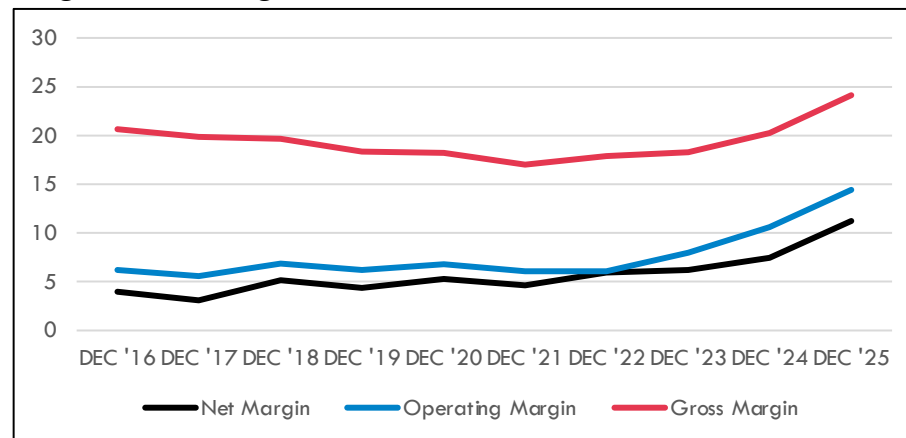


Figure 13: Margins



Source: Company Filings, IMCP

Business

Drivers

Financials

Valuation

Risks

Summary

Source: Company Filings, FactSet

Financials and FIX Overvaluation



12

Figure 18: FIX Peer Multiples

- FIX trades at 53.2x P/E, a 30% premium to the peer average of 40.1x
- On EV/EBITDA, FIX is the most expensive name in the comp set at 37.0x, versus a peer median of 24.2x

Comparable Companies		
Ticker	P/E	EV / EBITDA
FIX	53.2	37.0
CARR	45.8	21.7
JCI	25.8	23.3
APG	26.5	24.2
TT	35.6	22.3
Average	40.1	26.1
Median	40.7	24.2

Figure 19: FIX Comparable P/E Multiples

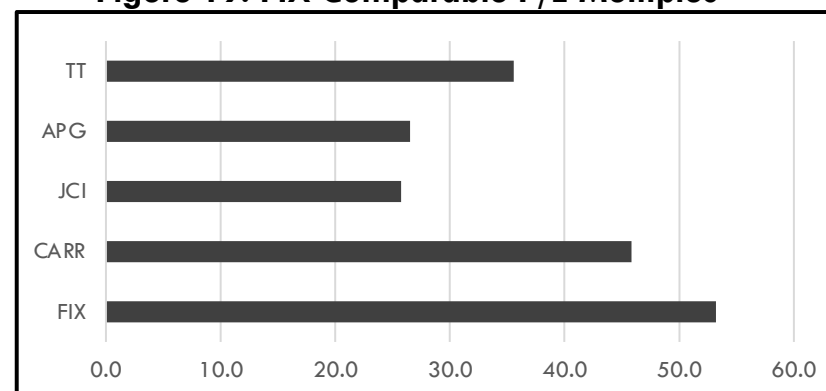


Figure 20: FIX Comparable EV/EBITDA Multiples

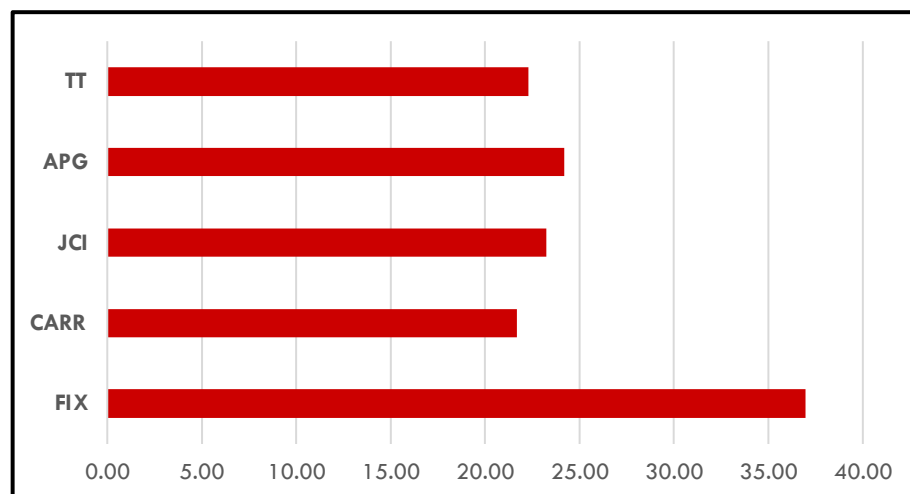
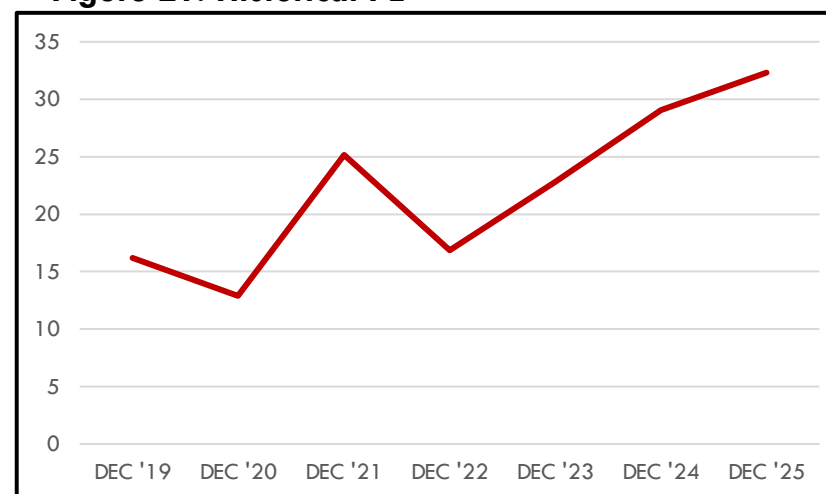


Figure 21: Historical PE

Source: Company Filings, FactSet, IMCP



Business

Drivers

Financials

Valuation

Risks

Summary



1st Stage Assumptions

13

- Two Stage DCF model:
 - Stage 1 captures near term AI driven growth followed by normalization
 - Stage 2 applies a terminal value multiple reflecting FIX's business profile
- Revenue decline in 2029-2030 reflects our base case assumption that AI data center capex decreases following the current buildout cycle reducing FIX's demand

Figure 22: FCFE Estimates

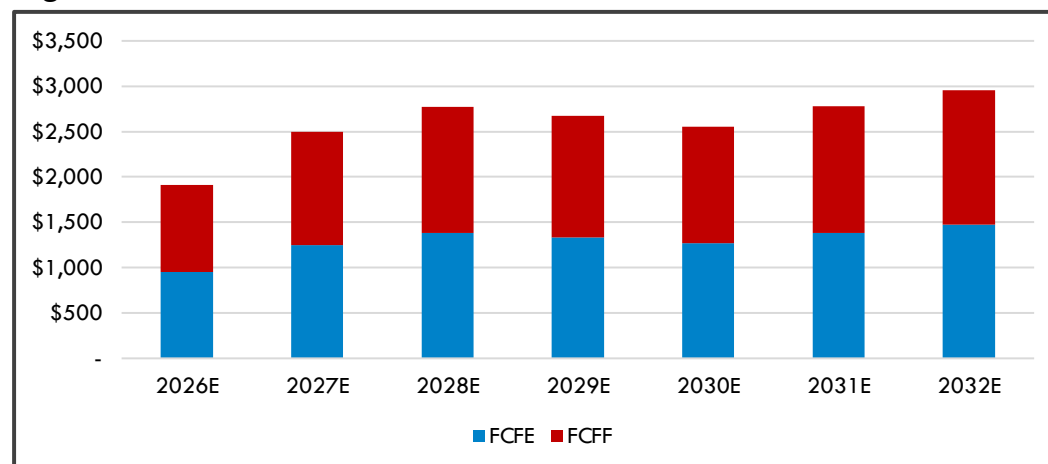


Figure 23: Cost of Capital Assumptions

Cost of Equity:		Cost of Debt:	
Market Return	9.3%	B-T cost of debt	5.5%
- Risk free rate	4.3%	Tax rate	23.0%
= Market Risk Premium	5.0%	A-T cost of debt	4.2%
* Beta	1.15	Weights	
= Stock risk premium	5.8%	% Debt	3.0%
$r = r_f + \text{Beta} * \text{ERP} + \text{SRP}$	10.6%	% Equity	97.0%
WACC		10.4%	

Figure 24: Sales and Margin Growth Assumptions

Terms	Forecast Assumptions						
	2026	2027	2028	2029	2030	2031	2032
Income Statement							
Revenue Growth	20.0%	12.0%	10.0%	-10.0%	-5.0%	5.0%	5.0%
Gross Margin	25.0%	25.0%	24.0%	23.5%	23.0%	23.0%	23.0%

Source: Company Filings, FactSet, IMCP





Terminal Stage Assumptions

14

Terminal Stage

- Terminal multiples assumed through regression analysis, industry multiples, and long-term averages

Figure 25: Terminal Multiples

Terminal year P/S	1.35x
Terminal ROIC	20%
Terminal year P/E	22x
Terminal Year EV/EBIT	15
Terminal Growth	3.50%

Figure 26: Downside Potential Calculation

RESULTS	Value-driver	Exit multiple	Blend
Enterprise value	\$14,163	\$20,895	\$17,529
+ Net cash	\$837	\$837	\$837
Equity value	\$15,000	\$21,732	\$18,366
÷ Diluted shares	35.2	35.2	35.2
Implied value / share (\$)	\$426.14	\$617.40	\$521.77
Upside / (downside) vs price	(77.0%)	(66.7%)	(71.8%)

Figure 27: Terminal Stage of FIX DCF Using P/E as Terminal Multiple

Cash Flows (\$ in millions)	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Terminal value P/E							
Net Income	\$ 1,307	\$ 1,489	\$ 1,564	\$ 1,400	\$ 1,321	\$ 1,414	\$ 1,502
% of Sales	31.5%	30%	24.3%	19.2%	14.6%	23.9%	8.4%
EPS	\$ 37.0	\$ 42.2	\$ 44.5	\$ 39.9	\$ 37.8	\$ 40.5	\$ 43.1
Growth		14.2%	5.3%	-10.3%	-5.4%	7.2%	6.5%
Terminal P/E							22x
*Terminal EPS							\$ 43.13
Terminal value							\$ 30,441
*Discount factor							0.5
PV of Terminal Value							\$ 15,268

Source: Company Filings, IMCP





Valuation Summary

15

- Target Price: \$564
 - Blended Fair Value Approach
- DCF Valuation:
 - FCFF Blend: \$521.77
 - FCFE: \$476.48
- Trading Comps
 - \$1,039
- No Valuation method supports the current price, downside ranges from 44% to 85% across all methodologies

Figure 28: Valuation Football Field

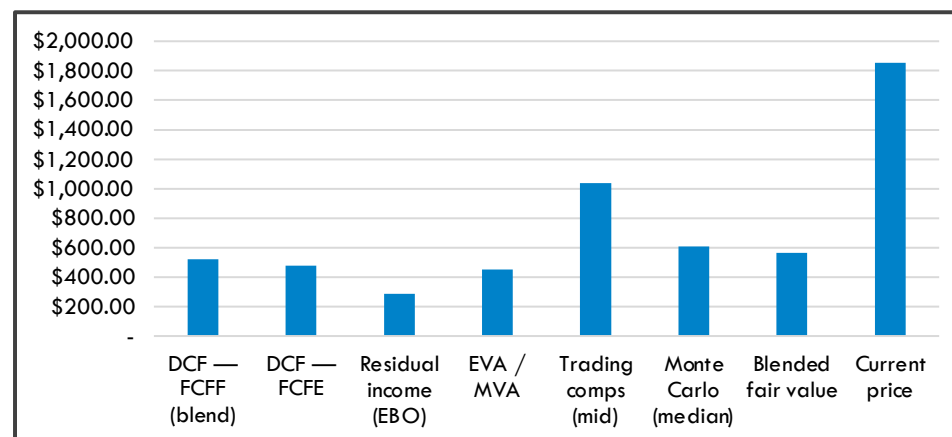
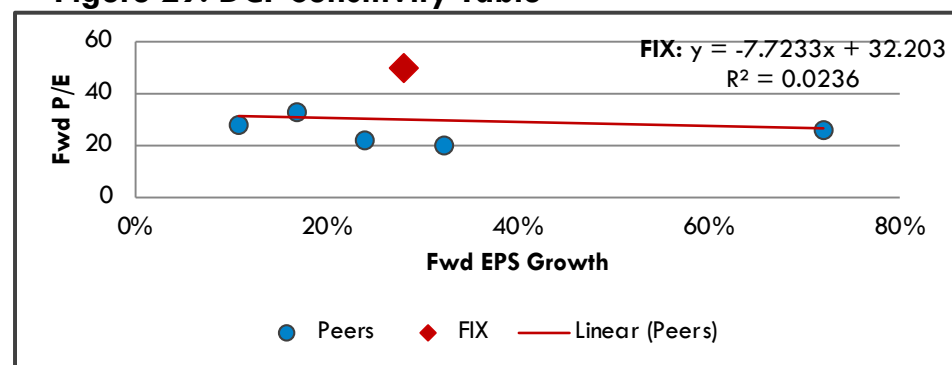


Figure 29: DCF Sensitivity Table



Source: Company Filings, FactSet

Current Price: \$1,852
 Target Price: \$564
 70% Potential Downside

Business

Drivers

Financials

Valuation

Risks

Summary

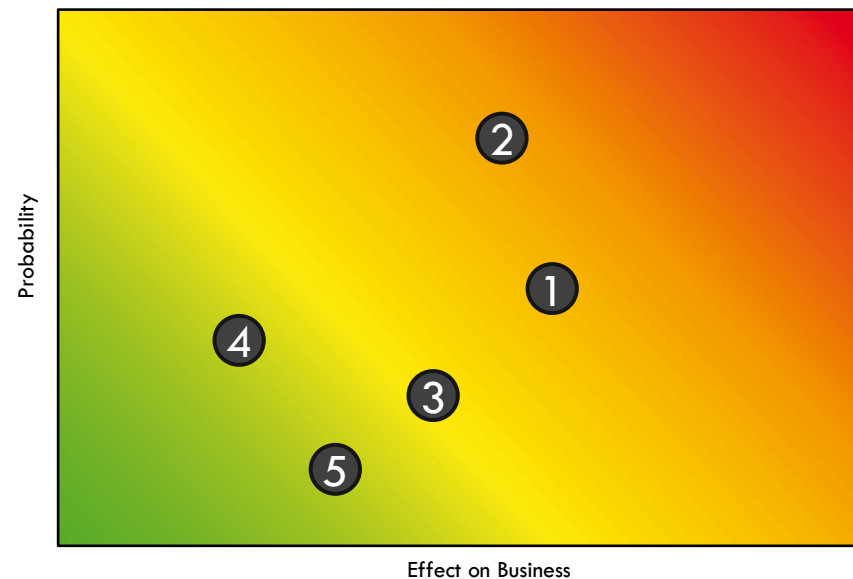


Risk Factors

16

1. Data Center Construction Slowdown does not Materialize
2. Cyclical Industry Cycle Turns Favorable
3. Backlog Converts at a Higher Rate
4. Customer Concentration Increases Foothold
5. Regulation Changes Supports Data Center Growth

Figure 30: Risk Assessment Matrix



Source: Company Filings, FactSet

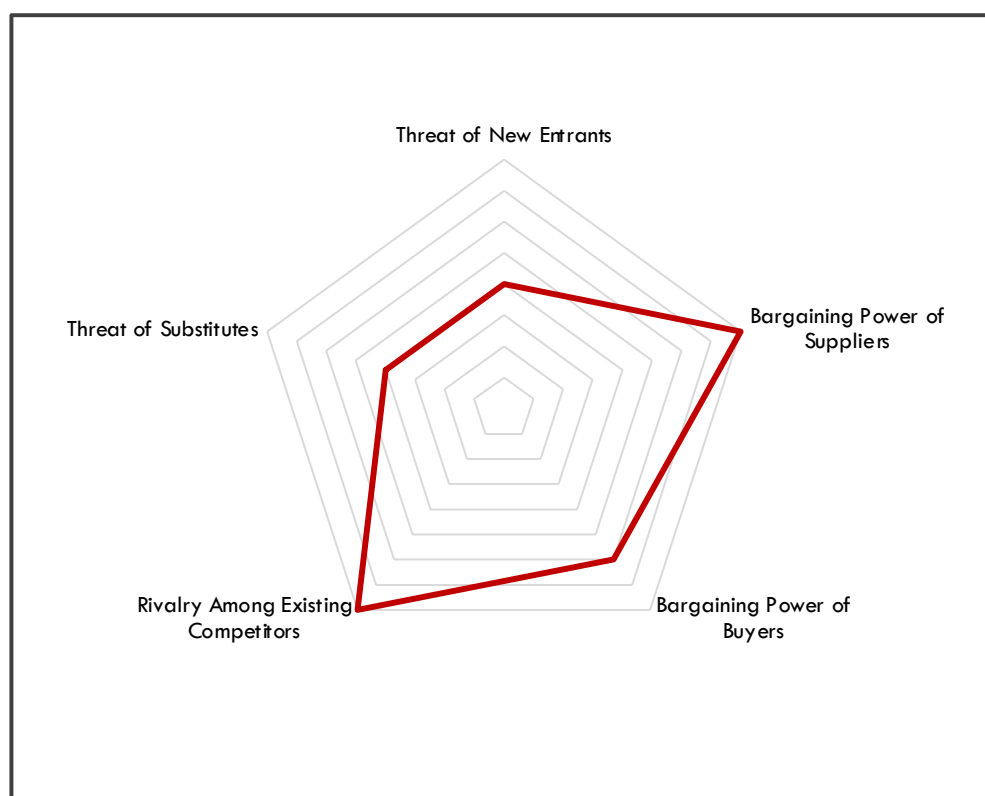




Risk Analysis

17

Figure 31: Porter's Five Forces



Source: Company Filings

Figure 32: SWOT Analysis

Strengths

- Exceptional Revenue and Growth Margin
- Net Cash Balance Sheet
- Strong FCF Conversion

Weaknesses

- Project-based Revenue
- Skilled Labor Shortage
- Rich Valuation at 51.21

Opportunities

- Data Center Buildouts
- Continued M&A expansion

Threats

- Data Center Building Slowdowns
- Labor Cost Inflation

Business

Drivers

Financials

Valuation

Risks

Summary

Source: Company Filings, FactSet

Summary



18

- FIX's recent growth has been driven almost entirely by the AI data center buildout cycle, inflating its market valuation well beyond historical norm
- The market is currently pricing in continued growth acceleration, but our analysis across multiple valuation methodologies consistently indicates the stock is significantly overvalued
- Operating leverage is a function of elevated AI-driven revenue above breakeven fixed costs
- With a blended fair value of \$564 against a current price of \$1,852, we see 70% potential downside and issue a Sell recommendation on FIX

Current Price: \$1,897

-70%

Price Target: \$564

Recommendation:
Sell

Business

Drivers

Financials

Valuation

Risks

Summary